ISSUER REVIEW · 1H2026

Luminor Bank

Estonia · Bank (Baltic universal bank; EE, LV, LT)

● OK

Position OK. Capital and liquidity are well above requirements, and Moody's kept the rating after the OTP Bank deal was announced[1]. Profit fell about a fifth[3]. The 7.75% bond XS2633112565 was redeemed in June 2026 and is no longer outstanding[4,5].

NET PROFIT · 2Q2026
37.4 EUR m
▼ 19.0 % vs 2Q2025

ROE · 1H2026
7.7 %
▼ 0.9 p. p. vs FY2025

CET1 RATIO · 1H2026
19.6 %
▼ 1 p. p. vs 1H2025

LCR · 1H2026
187.0 %
▲ 23.7 p. p. vs 1H2025

Quick summary

- **Profit down about a fifth:** 1H 2026 net profit EUR 72.0m versus 91.6m a year ago; Q2 alone EUR 37.4m versus 46.2m. Return on equity 7.7%[6].
- **Capital and liquidity well above requirements:** CET1 19.6% and total capital 23.7%. MREL 36.34% of TREA versus a 23.69% requirement plus buffers. Liquidity: LCR 187.0%, NSFR 142.3%[5].
- **New owner coming:** on 2026-07-20 it was announced that OTP Bank will buy 100% of Luminor from the Blackstone-led consortium and DNB. Regulatory approvals are pending. Moody's kept the rating and outlook[7].
- **Part of capital to be returned:** on 2026-07-17 the ECB approved a EUR 200.0m reduction of CET1 capital, expected in Q4 2026[8].
- **Cheaper funding:** a EUR 300m senior bond at MS+4.471% was repaid and the first EUR 500m senior non-preferred bond was issued at MS+1.28%[5].

Key facts

ISSUER RATING
Moody's - affirmed after the OTP announcement (grade to be confirmed; 2025 annual report refers to 'current A2 rating')[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
3Q 2026 interim report - expected November 2026

COUNTRY
Estonia

Securities held

Luminor Bank 3.551% 2029
XS3079969104 · 3.551% · 2029-06-12
no separate rating found

Luminor Bank 4.042% 2028
XS2888497067 · 4.042% · 2028-09-10
no separate rating found

Luminor 7.375% perpetual
XS2982074861 · 7.375% · perpetual
no separate rating found

01 Instruments held and ISINs

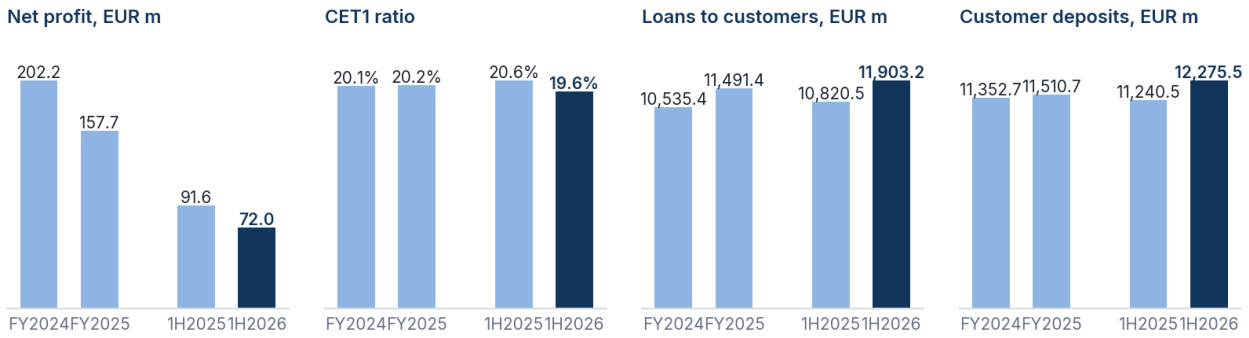
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
XS3079969104	Luminor Bank 3.551% 2029	3.551%	2029-06-12	no separate rating found	Senior preferred; callable at par 2028-06-12, then 3M EURIBOR+1.55%
XS2888497067	Luminor Bank 4.042% 2028	4.042%	2028-09-10	no separate rating found	Senior preferred; callable at par 2027-09-10, then 3M EURIBOR+1.50%
XS2982074861	Luminor 7.375% perpetual	7.375%	perpetual	no separate rating found	⚠ Perpetual, issued 2025-02-12

02 Key ratios

METRIC	FY2024	FY2025	1H2025	1H2026	CHANGE
Net profit, EUR m[9,3]	202.2	157.7	91.6	72.0	▼ 21.4 % vs 1H2025
Net interest income, EUR m[9,10,3]	507.7	427.3	214.7	214.4	▼ 0.1 % vs 1H2025
Total operating income, EUR m[9,10,3]	632.8	544.7	269.5	271.7	▲ 0.8 % vs 1H2025
Cost/income ratio[11,10,12]	54.5%	64.7%	60.1%ᶜ	**65.5%**	▲ 5.4 p. p. vs 1H2025
ROE[11,10]	11.7%	8.6%	–	**7.7%**	–
Cost of risk[10]	–	0.01%	–	0.14%	–
Net interest margin[9,13,12]	3.33%	2.71%	2.84%	2.70%	▼ 0.14 p. p. vs 1H2025
Loans to customers, EUR m[13,5,14]	10,535.4	11,491.4	10,820.5	11,903.2	▲ 10.0 % vs 1H2025
Customer deposits, EUR m[13,5,14]	11,352.7	11,510.7	11,240.5	12,275.5	▲ 9.2 % vs 1H2025
CET1 ratio[2,13,15]	20.1%	20.2%	20.6%	**19.6%**	▼ 1 p. p. vs 1H2025
Total capital ratio[2,13,15]	22.7%	24.6%	25.2%	**23.7%**	▼ 1.5 p. p. vs 1H2025
Leverage ratio[2,13,15]	9.1%	10.0%	10.3%	**9.9%**	▼ 0.4 p. p. vs 1H2025
MREL (% of TREA)[13,5]	–	35.54%	–	36.34%	▲ 0.8 p. p. vs FY2025
LCR[13,14,5]	205.1%	174.6%	163.3%	**187.0%**	▲ 23.7 p. p. vs 1H2025
NSFR[13,14,5]	143.6%	134.1%	133.8%	**142.3%**	▲ 8.5 p. p. vs 1H2025
NPL ratio[16,13,17]	1.8%	2.0%	1.7%	**2.1%**	▲ 0.4 p. p. vs 1H2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- Loans to customers EUR 11,903.2m (+3.6% since YE2025), deposits EUR 12,275.5m (+6.6%; changes are own calculation)[5].
- Net interest income 1H EUR 214.4m; net interest margin 2.70% (2025: 2.71%)[10,13].
- **Cost/income 65.5% (2025:** 64.7%); cost of risk 0.14% (0.01%); NPL ratio 2.1% (2.0%)[10].
- EUR 74.0m of dividends for 2025 paid in 1H 2026[5].

04 Financials

- **FY2025 net profit EUR 157.7m (2024:** 202.2m, −22.0%), ROE 8.6%, CET1 20.2%, total capital 24.6%[18].
- **FY2025 figures restated in the 2Q report:** net interest income EUR 427.3m (annual report: 419.8m), total income EUR 544.7m (537.2m)[10,19].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Issue senior non-preferred bonds while keeping the current A2 rating (2025 annual report)	EUR 500m SNP issued in 1H 2026; Moody's affirmed the rating[2,1]	Met: EUR 500m SNP issued at MS+1.28% while a EUR 300m senior bond at MS+4.471% was redeemed, so funding became cheaper[5].	**Met**
Reduce CET1 capital by EUR 200.0m (approval received 2026-07)	Planned for Q4 2026[8]	New plan: the ECB approved it on 2026-07-17. Capital is well above requirements (CET1 19.6%), so excess capital is returned[8].	**In progress**
Owners: Blackstone-led consortium (80.05%) and DNB (19.95%) (2025 annual report)	Sale to OTP Bank (100%) announced 2026-07-20, approvals pending[20,21]	Changed: the owners agreed to sell 100% to OTP Bank; Moody's affirmed the rating and outlook after the announcement[7].	**Revised**

06 Investor information & conclusions

- **Instruments held:** two senior preferred bonds, 4.042% 2028 (issuer call at par 2027-09-10) and 3.551% 2029 (call 2028-06-12), and a 7.375% perpetual bond[22,23,24]. The 7.75% 2027 bond XS2633112565 had a call date of 2026-06-08 and Luminor redeemed this EUR 300m bond in 1H 2026, so it is no longer outstanding[4,5].
- **For bondholders:** capital and MREL buffers are well above requirements and liquidity has increased. The EUR 200m CET1 reduction will lower the buffer; the bank does not state the impact on the CET1 ratio in the

sources[5].

- **OTP deal:** Moody's kept the rating and outlook after the announcement, so there is no rating impact so far[1]. Both held senior bonds can be called by the issuer at par, in 2027 and 2028[22,23].
- **Conclusion:** profitability is declining (1H profit −21%), but capital, MREL and liquidity have large buffers. The key event for holders is the change of owner to OTP. Watch: 3Q report, OTP deal approvals, the Q4 capital reduction.

07 Market and environment

- **Rates and competition:** net interest income +1.6% to EUR 111.2m on higher balances and deposit spreads as reference rates rose, offset by lower lending spreads due to competition; NIM 2.75% (2.95%)[3].
- **Costs:** expenses +3.2% to EUR 90.5m, of which migration costs EUR 20.3m; personnel costs +16.6% from insourcing and hiring developers[3]. Most sector-specific taxes lapsed[3].
- **Outlook:** management sees a positive outlook for the Baltics and plans a EUR 200m CET1 capital reduction in Q4[25].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.
Euro area AAA government 10-year yield	3.37% (2026-10)	3.23%	2.72%	▲ 0.65 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

- **OTP deal:** on 2026-10-13 the European Commission cleared OTP Bank's acquisition of Luminor Holding[26].
- **Attention – buyer's Russia links:** on 2026-09-28/29 the press (citing Bloomberg) reported that OTP's clients include companies linked to Gazprom and that OTP is considering a full exit from Russia. This concerns the buyer OTP, not Luminor's own business[27,28].
- **Bonds:** on 2026-09-26 Latvian media reported that Luminor Bank is cancelling bonds worth EUR 500m; the headline does not name the issue[29].

Automatic news scan (Google News, EN, EE, LT, LV), 2026-08-03 – 2026-11-01: 43 articles.

2026-09-29	ATTENTION	Už „Luminor“ norinčio įsigyti vengrų OTP ryškėja Kremliaus šešėlis: tarp klientų – su „Gazprom“ siejamos įmonės 15min.lt · 1 more similar articles
2026-10-29	DEAL	Luminor acquisition cleared for OTP Bank: target for OTP Bank stock is HUF 48,514.23 ad-hoc-news.de · 9 more similar articles
2026-09-29	DEAL	Hungary’s OTP Bank weighs Russia exit amid Luminor purchase – report Retail Banker International · 2 more similar articles
2026-09-26	BONDS	"Luminor Bank" anulē obligācijas 500 miljonu eiro vērtībā tv3.lv
2026-10-23	MANAGEMENT	„Luminor“ privačios bankininkystės vadovo asmeninis portfelis: renkuosi sritis, kurias gerai išmanau ir kurios man įdomios vz.lt · 2 more similar articles

2026-10-08	MANAGEMENT	„Luminor“ privačios bankininkystės vadovas nepasitiki politiniais sprendimais: II pensijų pakopos pinigus valdys pats vz.lt
2026-10-20	RESULTS	Luminor posts 157 million euro profit for 2025 / Article Latvian Public Media
2026-10-30	OTHER	“Latvietim nav obligāti jābūt baltam!” “Luminor” galvenā ekonomista Strautiņa izteikumi sacēluši pamatīgu vētru LA.LV · 1 more similar articles
2026-10-26	OTHER	„Luminor“ bankas informuoja apie darbo laiko pokyčius Vėlinių laikotarpiu Delfi
2026-10-24	OTHER	Luminor Financial Holdings Limited Estimates – SGX:5UA TradingView

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

- **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - The bank is not active in excluded sectors.
  - Sustainable real estate and renewable energy lending is growing (EUR 305.4m in 2025)[30].

- **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No UN Global Compact or OECD related controversies found in public sources and the news scan (2026-10-22).
  - No AML fines reported
  - The only regulatory note in 2025 was a Finantsinspektsioon precept on basic payment service procedures[31].

- **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, US OFAC consolidated sanctions lists (automatic check 2026-11-01).
  - Namesake on the lists: Luminor Oy – a Finnish logistics company linked to Siberica Oy (per the EU list entry for Gabriel Temin), not Luminor Bank AS.
  - Namesake on the lists: Luminor Logistics – an alias in the same US OFAC entry group as Luminor Oy and Siberica Oy (logistics), not Luminor Bank AS.

  Manual check
  - OFAC sanctions search[32]
  - EU Sanctions Map[33]
  - SEB eNameChecker (internal SEB system).

- **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news about Luminor itself
  - Most news is about the OTP Bank deal.
  - On 2026-09-28/29 the press wrote about links of the buyer OTP's clients to Russia – this concerns the buyer, not Luminor's business[27,28].
  - News summary 2026-08-03 – 2026-11-01: 43 articles, 1 with an adverse keyword in the headline (details in the section "In the press").
  - Headlines with an adverse keyword: „Už „Luminor“ norinčio įsigyti vengrų OTP ryškėja Kremliaus šešėlis: tarp klientų – su „Gazprom“ siejamos įmonės“ (15min.lt, 2026-09-29).

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**

- Sustainable real estate and renewable energy lending EUR 305.4m in 2025 (EUR 182.4m in 2024), target EUR 700m by 2030
- Green or sustainability-linked bonds 7.4% of the bond portfolio
- Sustainalytics ESG risk rating 18.4 (low risk)[30].

✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**

- Target to become climate neutral by 2050[30]
- Financed emissions measured with the PCAF method[34]
- Green or sustainability-linked bonds 7.4% of the bond portfolio, target 50% by 2030[30].

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**

- No yellow flags found.
- Ownership will move to OTP Bank (Hungary) once approvals are received[21].

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable

- No SEB sector policy for banks, so the Investments policy and the Environmental and Social & Human Rights policies apply[35].

Met

- No breach of governance or international norms found (quick search, 2026-10-22)
- Financed emissions disclosed using PCAF (Scope 3 3.2m t CO2e in 2025)[34]
- Climate neutrality target for 2050[30]
- Sustainable real estate and renewable lending EUR 305.4m, target EUR 700m by 2030[30]
- Sustainalytics ESG risk rating 18.4 (low risk)[30]
- Human rights commitment[36]
- AML and sanctions compliance[36]
- Anti-bribery measures and whistleblowing channels[37].

Could be improved

- No public lending exclusion list (coal, oil & gas, weapons) or UN Global Compact membership found.

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**

- No need: capital, liquidity and ESG practices are solid.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**

- Financed emissions (Scope 3) 3.2m t CO2e in 2025, PCAF method[34]
- Women on the Supervisory Council 33.3% (target 40%)[38]
- Sustainalytics ESG risk rating 18.4, low risk[30].

Additional comments:

Conclusion: No exclusions or red flags. Solid ESG practice: financed emissions measured (PCAF), climate-neutrality target, growing green lending and a low ESG risk rating. Ownership moves to OTP Bank.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

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3. Luminor Bank - Interim report 2Q 2026, p. 5, 2026-08-11
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5. Luminor Bank - Interim report 2Q 2026, 2026-08-11
6. Luminor Bank - Interim report 2Q 2026, p. 5, 16, 2026-08-11
7. Luminor Bank - Interim report 2Q 2026, p. 4, 15, 2026-08-11
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33. EU Sanctions Map
34. Luminor Bank - Annual report 2025, p. 22, 2026
35. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
36. Luminor Bank - Annual report 2025, p. 18, 2026
37. Luminor Bank - Annual report 2025, p. 23, 28, 2026
38. Luminor Bank - Annual report 2025, p. 29, 2026

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